

Steps of a Hypothesis Test

MBI

- 1) Choose an alpha-level (α) / decision boundary.
 - ↳ $0 \leq \alpha \leq 1$
 - ↳ $\alpha \geq P_{H_0}(\text{Reject } H_0) \leftarrow \text{Type I error}$
- 2) Define a random data generating process. H_A .
- 3) Determine meaningful null hypothesis, H_0 , and alt.,
- 4) Determine a test statistic, T (which is a RV),
- 5) Derive / approximate distribution of T .
- 6) Decide whether or not to reject null, H_0 .